



INDUSTRY PLAYERS EXPECT THE NUMBER OF UNIQUE MF INVESTORS TO RISE TO 100-120 MILLION BY FY30, FROM AROUND 40 MILLION AT PRESENT

| 93

fintech space. The digital ecosystem based on Aadhaar, or UPI, has helped onboard clients more easily today. I think the younger investors would possibly be the first to start using these platforms because they have grown in the digital age,” he adds. Incidentally, industry estimates suggest that there are 1.2 billion internet users in the country, 800 million e-commerce users, 500 million OTT subscribers, and 300 million UPI users.

But digital is not the only way ahead, and an omnichannel approach—a mix of digital and old-school touch points—may work best when dealing with a diverse and varied economy like India.

“When everyone says digital has come and physical will go, that is not true. You look at our customer pattern; digital is there, but we still go to brick-and-mortar shops. Yes, percentages change,” says Pandey of Old Bridge MF.

The share will definitely change, and the strategy that does the trick in a metro like Mumbai or Delhi may not be ideal for a Tier II or III town, but the market is clearly there, and with the right differentiation, new players can co-exist with older ones that have a track record, as the pie is too big.

There seems to be no doubt about the Indian MF industry’s huge potential for growth. The current penetration level or the number of investors is very low when compared to the number of e-commerce users or even

those just using various food delivery apps—it is estimated to be around 280 million.

In fact, in a recent presentation, Bajaj Finserv MF highlighted that MF AUM surged by three to four times in countries like Malaysia and Thailand when their respective GDPs doubled in 10–15 years.

By FY30, the number of unique investors in MFs should get to around 100–120 million, and the AUM should be close to ₹130 lakh crore, says Mohan.

There seems to be unanimity amongst fund managers that the trick is to create a niche based on innovation in both product and distribution.

“New players will obviously take time to build a track record. Ultimately, the business will grow only for those who are deeply committed to growing it. If you look at the other markets as well, while there are only a few large players, there are many boutique firms as well. In the mutual fund business, your growth will be subject to your level of commitment,” says Balasubramanian.

The market is waiting. All that’s needed now is focus and commitment, getting the basics right, and sooner rather than later, the MF pie is bound to expand. In the pages that follow, we bring you various aspects of the mutual funds industry. **BT**

@ashishrukhaiyar